



Cambridge O Level

ECONOMICS

2281/13

Paper 1 Multiple Choice

October/November 2023

45 minutes

You must answer on the multiple choice answer sheet.

You will need: Multiple choice answer sheet
Soft clean eraser
Soft pencil (type B or HB is recommended)

INSTRUCTIONS

- There are **thirty** questions on this paper. Answer **all** questions.
- For each question there are four possible answers **A, B, C** and **D**. Choose the **one** you consider correct and record your choice in soft pencil on the multiple choice answer sheet.
- Follow the instructions on the multiple choice answer sheet.
- Write in soft pencil.
- Write your name, centre number and candidate number on the multiple choice answer sheet in the spaces provided unless this has been done for you.
- Do **not** use correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 30.
- Each correct answer will score one mark.
- Any rough working should be done on this question paper.

Done 1

[Handwritten red signature]

This document has **12** pages. Any blank pages are indicated.

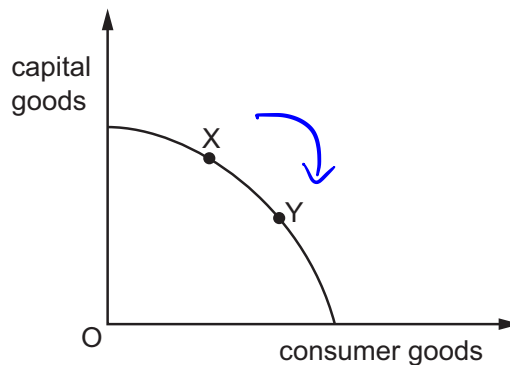
- 1 A consumer has \$10 to spend. A meal costs \$9 and a drink costs \$5.

What would describe the situation if the consumer did **not** have enough money to purchase both the meal and the drink?

- A excess demand (Quantity demanded exceeds quantity supplied)
 B free goods (unlimited in supply, no opportunity cost, e.g. sunlight)
 C market failure (from society's perspective)
☒ D the economic problem (unlimited wants, but limited resources)

- 2 The diagram shows a production possibility curve (PPC) for a country. The country moved from position X to position Y on the PPC.

More consumer goods
 more choices
 Higher standard of living



What is the **most** likely reason for this change?

- A Firms have decided to increase investment in technology.
 B New economic resources have been discovered in the country.
☒ C The government has brought about an increase in living standards.
 D The government has encouraged long-term economic growth.

then it would be from 'Y' to 'X'
 causes shift in PPC

- 3 Which type of factor of production is a railway track?

- ☒ A capital → capital
 B enterprise (risk taker) - owner
 C labour → physical and mental effort (human resource)
 D land → natural resource

Shortage / Surplus

4 Which statement must be correct if a market is in disequilibrium?

A Quantity demanded and quantity supplied are equal. Equilibrium

B The government must intervene if anything is to be sold.

C There can be no changes to demand or supply.

D There is excess supply or excess demand.

factor $Q_s > Q_d$ $Q_d > Q_s$

] no sign of disequilibrium

5 What is a determinant of price elasticity of demand (PED)?

A availability of stocks of the product PES

B change in the income of consumers Demand factor

C degree of necessity of the product Inelastic demand

D existence of monopoly Market failure

6 What would cause the supply curve for an agricultural product to shift to the right?

 $S \uparrow$ A an increase in the costs of production cost $\uparrow$, $S \downarrow$ B an increase in the price of substitutes Price $\uparrow$, Demand $\uparrow$

C an increase in the price of the good Movement along the curve

D an increase in the productivity of farms productivity $\uparrow$, Supply $\uparrow$

Elastic supply

7 What would increase the price elasticity of supply (PES) of a product?

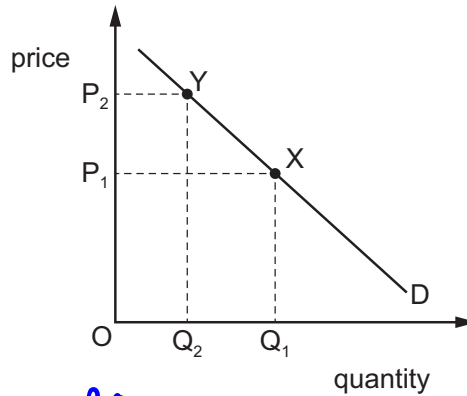
A an increase in the cost of inputs Shifts Supply

B an increase in the firm's profits Unrelated

C an increase in the number of close substitutes Elastic demand

D an increase in the time a product can be stored store for longer period, Elastic supply

- 8 The diagram shows a demand curve.



What does the movement from X to Y show?

- ☒ A a decrease in quantity demanded due to an increase in price *Correct → other factors*
- ☐ B a decrease in quantity demanded due to changes in the conditions of demand
- ☒ C an increase in quantity demanded due to changes in the conditions of demand
- ☒ D an increase in quantity demanded due to an increase in price *Quantity demand can't increase when price is increasing.*
- $Q_d > Q_s$*

- 9 In a market there is a surplus of a good.

Surplus, so price ↓

Which change would cause the market to come to an equilibrium?

- ☐ A a decrease in demand *(further disequilibrium)*
- ☒ B a fall in price
- ☐ C a rise in price *(in case of shortage)*
- ☐ D an increase in supply *(further disequilibrium)*

- 10 When the price of a good is \$10, the quantity demanded is 100 units per day.

Which combination of price change and price elasticity of demand will cause the largest increase in the quantity demanded for the good?

	price change	price elasticity of demand
☒ A	price falls to \$9	0.8
☐ B	price falls to \$9	1.2
☐ C	price rises to \$11	0.8
☐ D	price rises to \$11	1.2

Inelastic demand, quantity extends by smaller %.

*Elastic demand
price ↓ Q_d ↑*

→ Since price is increasing, quantity demand will decrease

- 11 A function of money is to act as a measure of value.

What does this mean?

A It is used for future savings. *Store of value*

☒ B It is used to compare the worth of different goods.

C It is used to enable monthly payments for expensive goods. *Deferred payment*

D It is used to pay the price of a good. *Medium of exchange*

Read:-

The measure of value is the function of money that enables the values of different goods and services to be compared, also referred to as a unit of value.

- 12 In 2008–2009 the central bank of a developed country reduced interest rates from 5% to 0.5% per year to stimulate the economy.

How would this policy have affected the amount saved and the cost of borrowing by individuals?

	amount saved	cost of borrowing
☒ A	decreased ✓	decreased ✓
B	decreased ✓	increased
C	increased	decreased ✓
D	increased	increased

*interest rate ↓
reward for saving ↓
save ↓*

*cost of borrowing ↓
Investment ↑*

Supply ↓, price ↑

- 13 Many small energy providers have closed down due to rising costs.

What is the likely effect of this on the price of energy and choice of energy providers for consumers, assuming there is no government intervention?

	price of energy	choice of energy providers
A	decreases	decreases ✓
B	decreases	increases
☒ C	increases ✓	decreases ✓
D	increases ✓	increases

price will increase

*choice ↓
as many small firms close down*

6

social welfare

14 What is the most likely goal of a state-owned enterprise providing health services?

- A profits
☒ B public satisfaction
 C sales revenue
 D survival

private firms objective

15 Some governments allow monopoly markets to exist.

What is a reason for this?

- A to attract entry into the market
☒ B to fund research and development
 C to increase prices for consumers
 D to maximise monopoly profits

*There are barriers**→ As this benefits the economy.**] Government will not want this*

16 The table shows the costs incurred by a firm producing computers.

	output (thousands)	total costs (\$ thousands)
<i>fixed cost</i> <i>\$20000</i> <i>↳ thousand</i>	0	20
	1	1200
	2	1350
	3	1450

What are the fixed costs if 3000 computers are produced?

- ☒ A \$20 000 B \$1 430 000 C \$1 450 000 D \$4 020 000

17 A government increases its revenue by higher direct taxation of both personal incomes and company profits.

What is most likely to be the reason for this increase?

- A to control spending on specific consumer goods
 B to encourage business investment
☒ C to provide public and merit goods
 D to reduce pollution from industrial production

*indirect tax would have been used**company tax would have been reduced**(indirect tax to be used)*

*Direct tax affects rich,
 so funds collected from
 rich, so services can be provided
 to poor.*

- 18 Income tax in a country gives all individuals an initial tax-free income allowance. Any income above this allowance is taxed at increasing rates as the incomes of individuals rise.

Which change to this income tax will be regressive?

* The term regressive tax refers to a tax that is applied uniformly regardless of income. Regressive taxes take a larger percentage of income from low-income earners than from middle- and high-income earners.

- A decreasing the lowest rate of tax
- ☒ B decreasing the tax-free income allowance → Decrease it
- C increasing the tax-free income allowance
- D increasing the top rate of tax → progressive

- 19 A government lowers the rate of interest. $R \downarrow$, reward on saving $\downarrow$, save $\downarrow$

Who is **most** likely to be disadvantaged by this policy?

- A house buyers
 - B manufacturers
 - C retailers
 - ☒ D savers
- } cost of borrowing $\downarrow$

AS $\uparrow$

- 20 What is a supply-side policy measure?

- A a tariff on imported goods AD $\uparrow$
- B an increase in indirect taxes Prices $\uparrow$
- C a contractionary monetary policy AD $\downarrow$
- ☒ D the removal of barriers to entry to a market → more firms enter, AS $\uparrow$

- 21 What is the **most** likely consequence of economic growth?

- A more equal income distribution → unequal distribution
- ☒ B more use of resources
- C reduced imports, economic growth, income $\uparrow$, M $\uparrow$
- D reduced tax revenue, income generated from economic growth, so rise in tax revenue.

as output $\uparrow$

capital intensive

- 22 In high-income economies, cereal farming is highly productive but few workers are employed.

What could have caused this employment situation?

- A a fall in world demand for cereals *Then production would have stopped.*
 B a lack of capital equipment *Then more workers would be employed*
☒ C increased mechanisation of agriculture
 D large-scale migration from rural areas *More workers available*

- 23 Who is **most** likely to benefit during a period of inflation?

- A creditors (lenders) *They will receive less, loss*
☒ B debtors (borrowers) *→ They have to return less*
 C fixed income earners *→ real income ↓ as they received fixed amount*
 D holders of cash *→ value of money ↓*

- 24 The table shows some economic indicators.

Which increase in the first indicator is **most** likely to lead to an increase in the second indicator?

	first indicator	second indicator
A	budget surplus	consumer saving
B	consumer spending	unemployment
C	inflation	trade surplus
☒ D	productivity	living standards

(A) Budget surplus ↑ (Tax ↑, G ↓), since Tax ↑, Disposable income ↓, saving ↓
 (B) C ↑, AD ↑, Un ↓
 (C) inflation ↑, X ↓, Trade surplus ↓
☒ D productivity ↑, higher output, living standards ↑.

- 25 Which combination would be **most** likely to increase the population of a country?

	birth rates	death rates	net immigration
A	high ✓	high	positive ✓
☒ B	high ✓	low ✓	positive ✓
C	low	high	negative
D	low	low ✓	negative

↓
high

↓
low

↓
+ve (More people coming in)

26 Which economic consequence is **most** likely to result from an increasing proportion of the population being over the age of 65?

☒ A Government transfer payments will increase.

e.g. pensions, Health benefits

☐ B More facilities will be needed to retrain workers.

→ This age group can't be retrain

☐ C The total savings in the economy will increase.

→ Spendings ↑

☐ D There will be a rise in the economic growth rate.

→ growth rate ↓ as higher taxes will set that will be spent on people above 65.

Similarity, then why trade.

27 What is **most** likely to encourage international specialisation?

☐ A similarities in climate in different countries

☒ B the ability to produce products more cheaply than other countries

concept of comparative advantage

☐ C the discovery of oil in a country that had no oil before

Doesn't mean it result in specialization

☐ D very high international transport costs

→ Then why involving in trade

28 Country X established free trade agreements with other nations.

What would be the intended benefit of such agreements to country X?

☐ A increased labour shortages

☐ B increased tariff revenue

☒ C more efficient allocation of resources

☐ D protection from low wage competition

free trade agreements means trade without protectionism, so each country will produce those goods, which they are best at, that is international specialization.

29 A country's foreign exchange rate appreciates significantly.

Which group in the country will directly benefit from this change?

☐ A a government department which only buys locally made goods

☒ B retailers who get all their supplies from foreign producers

as imports will be cheaper

☐ C workers in local companies that compete with foreign firms in the local market

☐ D workers in local companies that sell only in foreign countries

→ disadvantage as exports will be uncompetitive.

Nothing to link with currency.

→ Again no link to currency as they compete in local market.

Net transfers

30 What is measured in the secondary income balance in a country's current account of the balance of payments?

☒ A net contributions to international and regional organisations

*Government transfers
(official transfers)*

☐ B net exports of goods and services

☐ C net foreign investment flows *financial account*

☐ D net inflow of income from factors of production abroad

primary income

Balance of trade.

Question	Answer	Marks
1	D	1
2	C	1
3	A	1
4	D	1
5	C	1
6	D	1
7	D	1
8	A	1
9	B	1
10	B	1
11	B	1
12	A	1
13	C	1
14	B	1
15	B	1
16	A	1
17	C	1
18	B	1
19	D	1
20	D	1
21	B	1
22	C	1
23	B	1
24	D	1
25	B	1
26	A	1
27	B	1
28	C	1

Question	Answer	Marks
29	B	1
30	A	1